2026 BETA ALPHA PSI / WASHINGTON STATE UNIVERSITY

Cascade Warehouse Club | FY2026 Audit Risk Summary

Fictional educational case • Audit planning only • All dollar amounts in millions unless noted

$16.0M	$12.0M	$0.8M	$336M
Overall materiality	Performance materiality	Clearly trivial	Reported operating income

RISK / PRIORITY	ASSERTIONS AT RISK	ESTIMATED EXPOSURE	TESTS & EVIDENCE NEEDED
1 Supplier rebate 5% tier may not be supportable	**Rebate receivable / inventory: valuation** COGS: accuracy	**$13.2M receivable; $15.4M potential income impact if only 2% applies** Conditional scenario; compare to $12M / $16M	Confirm purchase volumes and rebate agreement directly with Summit Foods. Independently challenge Sep–Dec forecast and the 25% unsold-inventory assumption; recalculate allocation.
2 Inventory / ERP Post-conversion shrink and access	**Inventory: existence, valuation** COGS: accuracy / completeness	**$4.04M–$5.52M indicative additional shrink** Risk from $41M manual receipts not quantified	Observe / reperform cycle counts, test receiving logs, inspect user access and approval records for unusual adjustments. Extend tests if exceptions persist.
3 Cash Card breakage 8% lifetime estimate may be high	**Cash Card liability: valuation, completeness** Revenue: accuracy	**$6.4M one-time Q4 revenue adjustment is at risk** Not a proven full reversal	Reperform cohorts across maturity periods and channels, reconcile $141 + $412 – $397 – $8 = $148 liability, and test journal-entry support.

Audit focus: verify forecasts, inventory integrity and lifetime redemption evidence before proposing adjustments.

Source: Fictional Cascade Warehouse Club FY2026 case, Exhibits 1–6. Estimates reflect the team's disclosed assumptions.